

Global Strategy: Class #5

International Strategies and Entry Modes

Walmart

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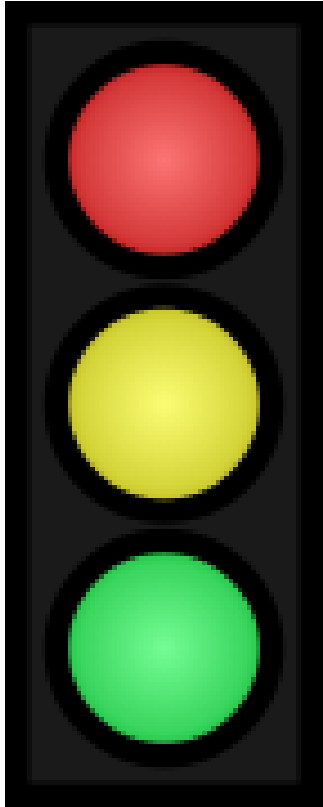
Last Class

- Where should we go? **AAA Framework.**
 - Advantages on *Arbitrage*, *Aggregation*, and *Adaptation* might help firms to have lower relative costs, gain economies of scale, and increase local relevance, respectively
 - AAA approach should be followed closely by managers given the risks it might impose to the firm
- How should we go? **Transaction Cost Economics (TCE) framework**
 - Minimizing opportunistic risks of *hold up*
 - Choosing the correct governance structure depending on the asset specificity is key

TODAY

- Where should we go? **AAA Framework.**
- How should we go? **Transaction Cost Economics (TCE) Framework.**
 - Entry modes and local competition

What We Are Trying to Solve in the Global Module

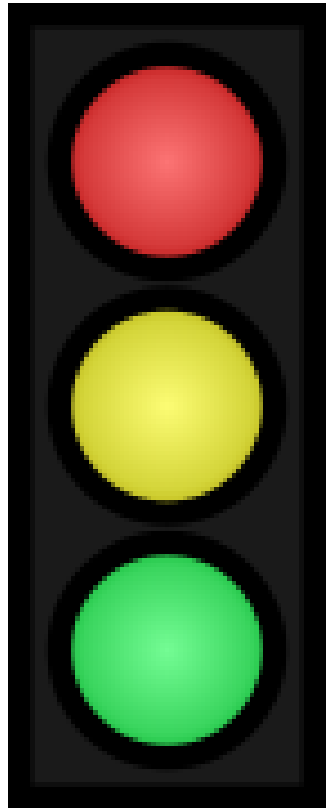


Should we go abroad?

Where should we go?

How should we go?

What We Are Trying to Solve in the Global Module



Should we go abroad?

- **ADDING Value**
- **CIA:** Comparative Institutional Analysis

- Ferrero Group
- Corruption in International Business

Where should we go?

- **CAGE:** Culture, Administrative, Geographic, and Economic
- **AAA:** Adaptation, Aggregation, and Arbitrage

- European Super League
- Apple
- Zara

How should we go?

- **TCE:** Transaction Cost Economics
- **SM:** Stakeholders Management

- Walmart
- McDonald's
- Tata Group
- Natura

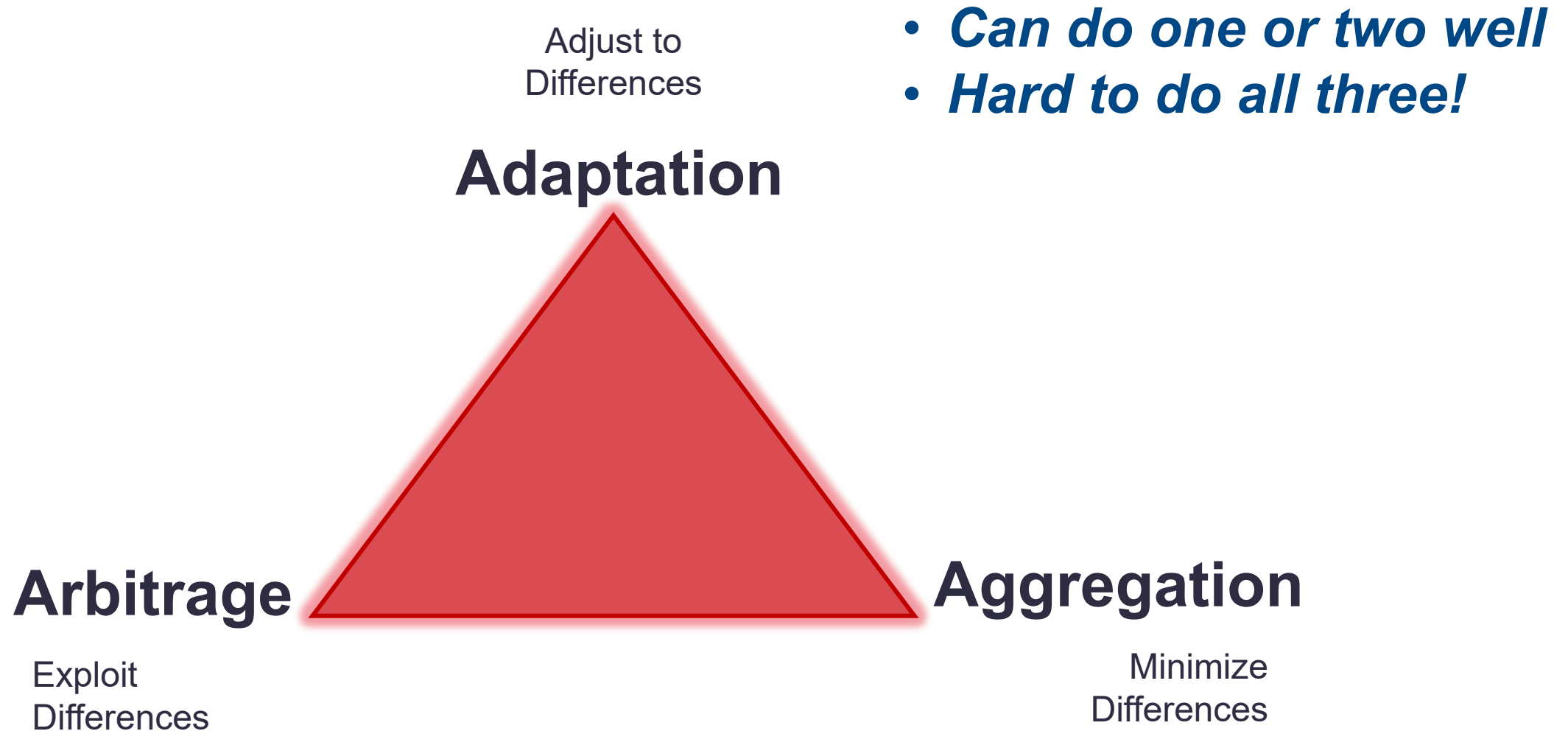
What was the “AAA” sequence that Walmart implemented since its foundation?

Hunt, Watts, & Bryant (2018)

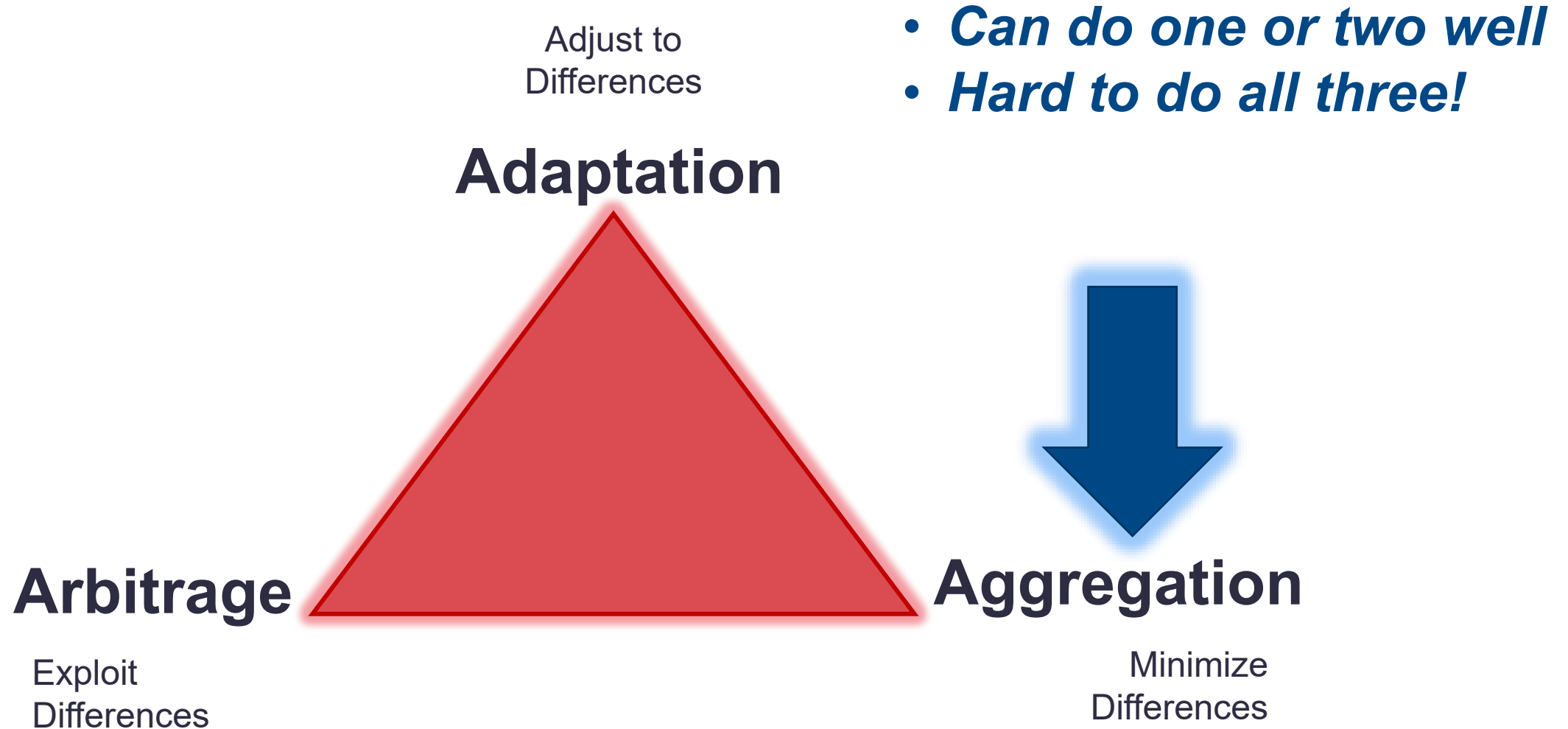
“Walmart’s international expansion: successes and miscalculation,”
Journal of Business Strategy 39(2):
22-29.



At home, Walmart initially focused on A...



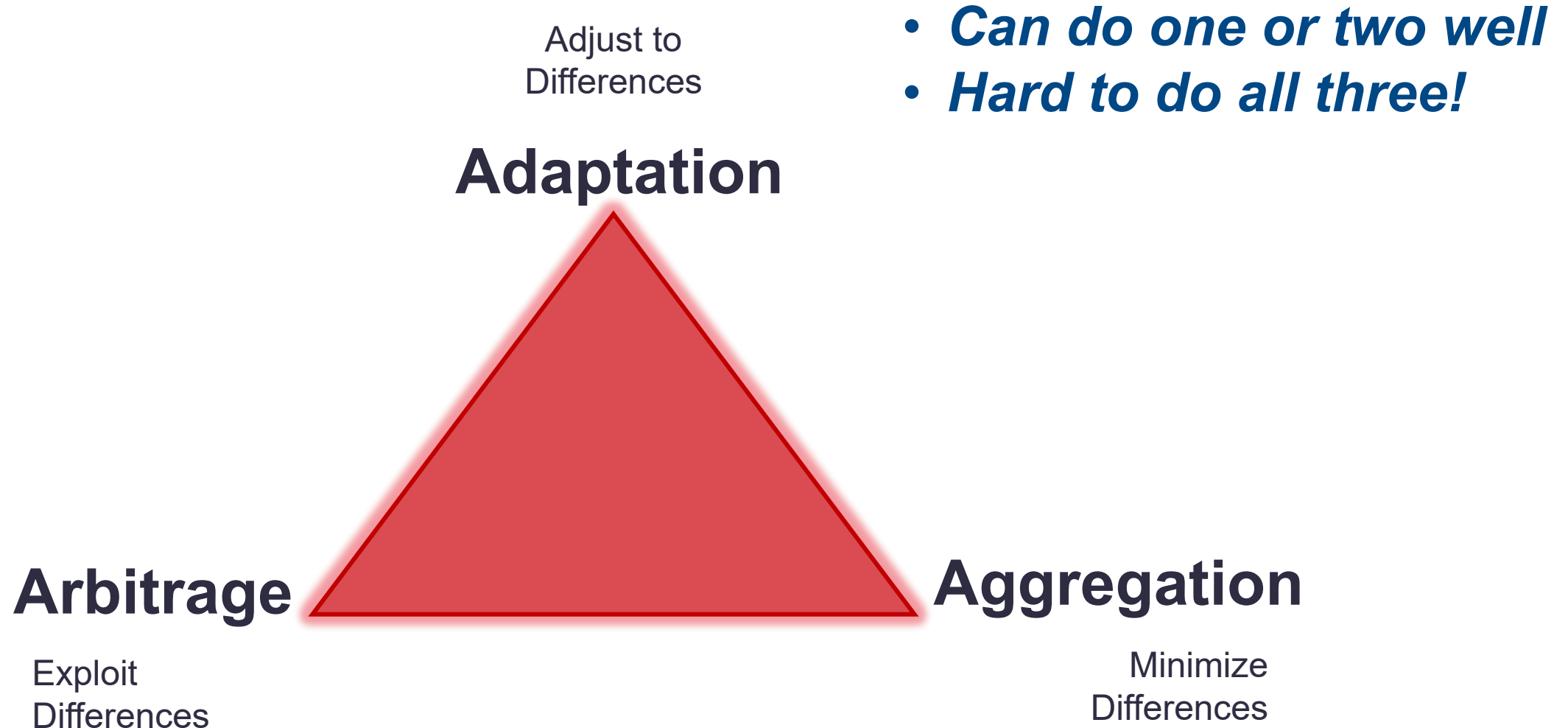
At home, Walmart initially focused on Aggregation at home



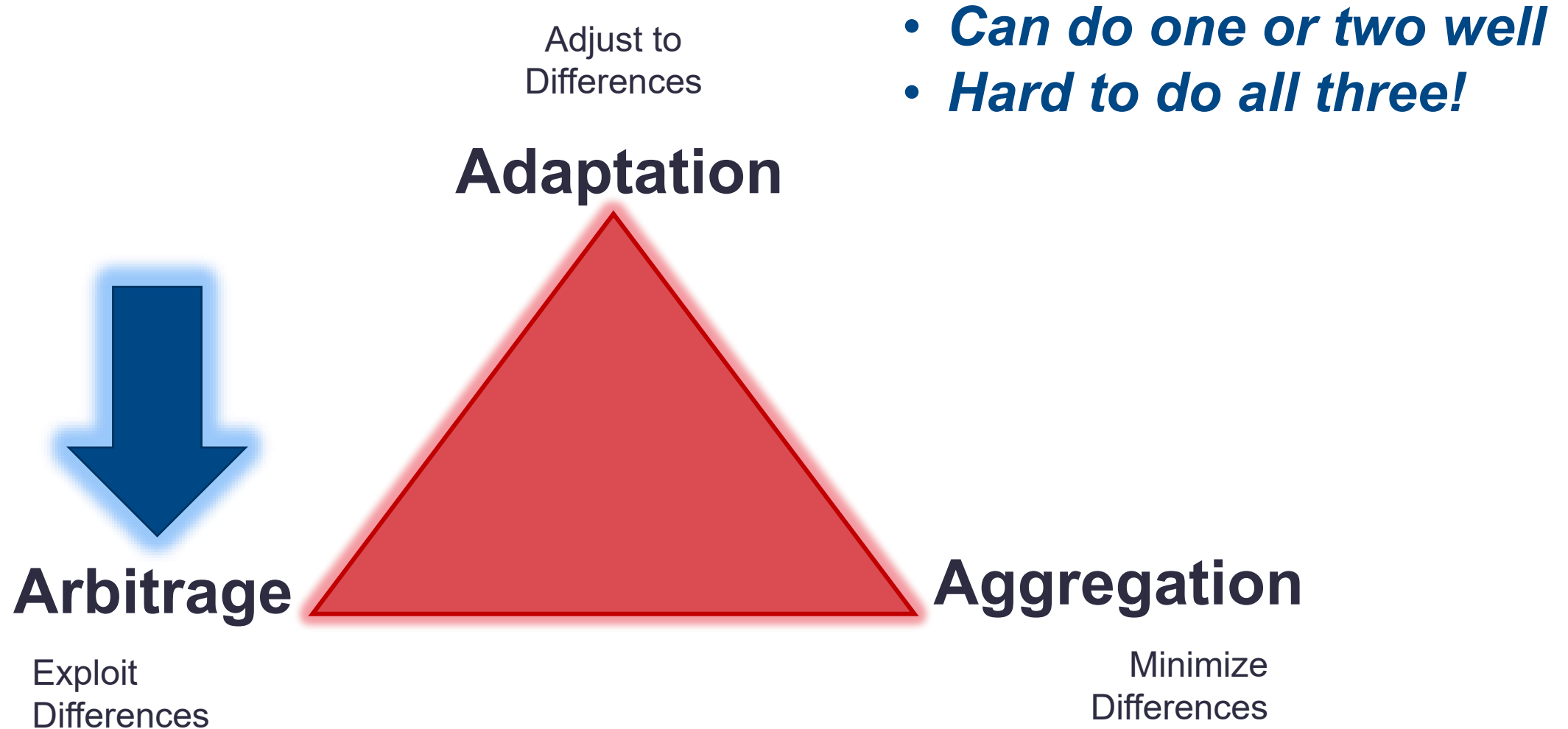
WALMART GROWTH MAPPED IN R



Then, the initial Walmart international expansion was focused on A...

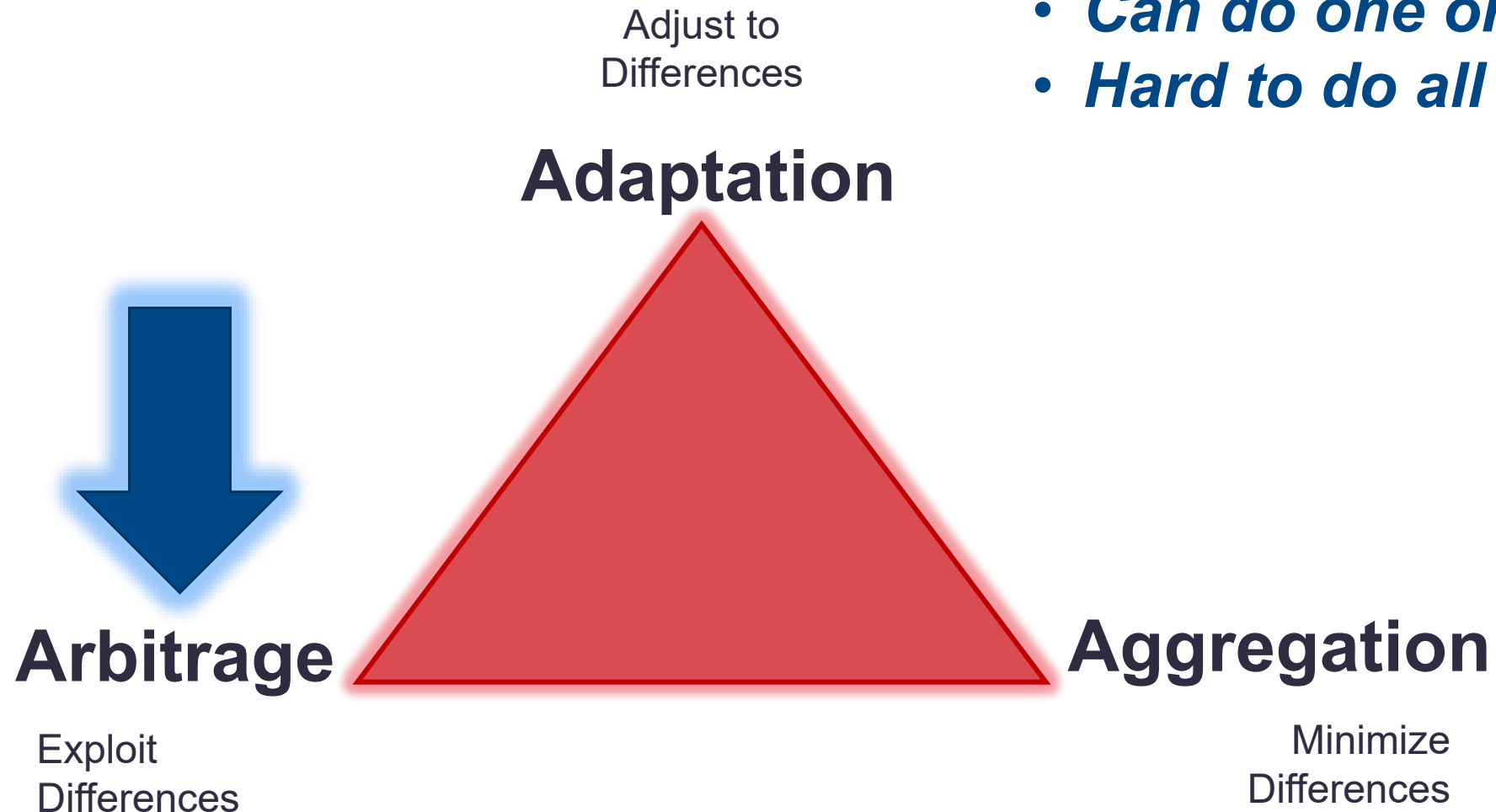


Then, the initial Walmart international expansion was focused on Arbitrage



Then, the initial Walmart international expansion was focused on **Arbitrage**, importing cheaper goods from **China**

- *Can do one or two well*
- *Hard to do all three!*



Flashcards

Walmart CEO Warns of “Unavoidable” Price Increases from China Tariffs

In February 2025, Walmart CEO Doug McMillon publicly warned that the escalating US-China tariffs under the Trump administration’s renewed trade policy **would lead to higher prices for American consumers**. Walmart sources a significant share of its general merchandise from China and indicated it could not fully absorb the 145% tariff on Chinese imports. The company began accelerating **supplier diversification toward Vietnam, India, Mexico, and Central America**. Walmart also renewed its “Invest in American Jobs” commitment, pledging to purchase \$350 billion in products made, grown, or assembled in the US by 2026.

Sources: [CNBC / WSJ \(Feb 2025\)](#), [Fortune \(Mar 2025\)](#), and [AP News via PBS \(May 2025\)](#)

Question: “When Walmart’s CEO says prices will go up, which area of the graph is he pointing to? And what happens to the imports gap?”

ANALYSIS

AAA, Costlier Arbitrage: Walmart’s global sourcing model is built on **cost arbitrage**: importing goods produced cheaply in China to sell at “*everyday low prices*” in the US. A 145% tariff effectively *destroys* this arbitrage advantage.

CAGE, Administrative Distance Is Growing: Tariffs are a textbook **administrative barrier** that increases CAGE distance. The US-China administrative distance was already large (different legal and political systems, SOE presence, etc). Tariffs make it dramatically larger. Walmart’s sourcing diversification to Vietnam, India, and Mexico is a CAGE-informed response.

Key lesson: Arbitrage advantages are policy-dependent and temporary. **Walmart must either absorb the margin hit, raise consumer prices, or shift sourcing. They’re doing all three.**

What was the most emblematic case of International Arbitration in recent years?

Swifties Arbitrage

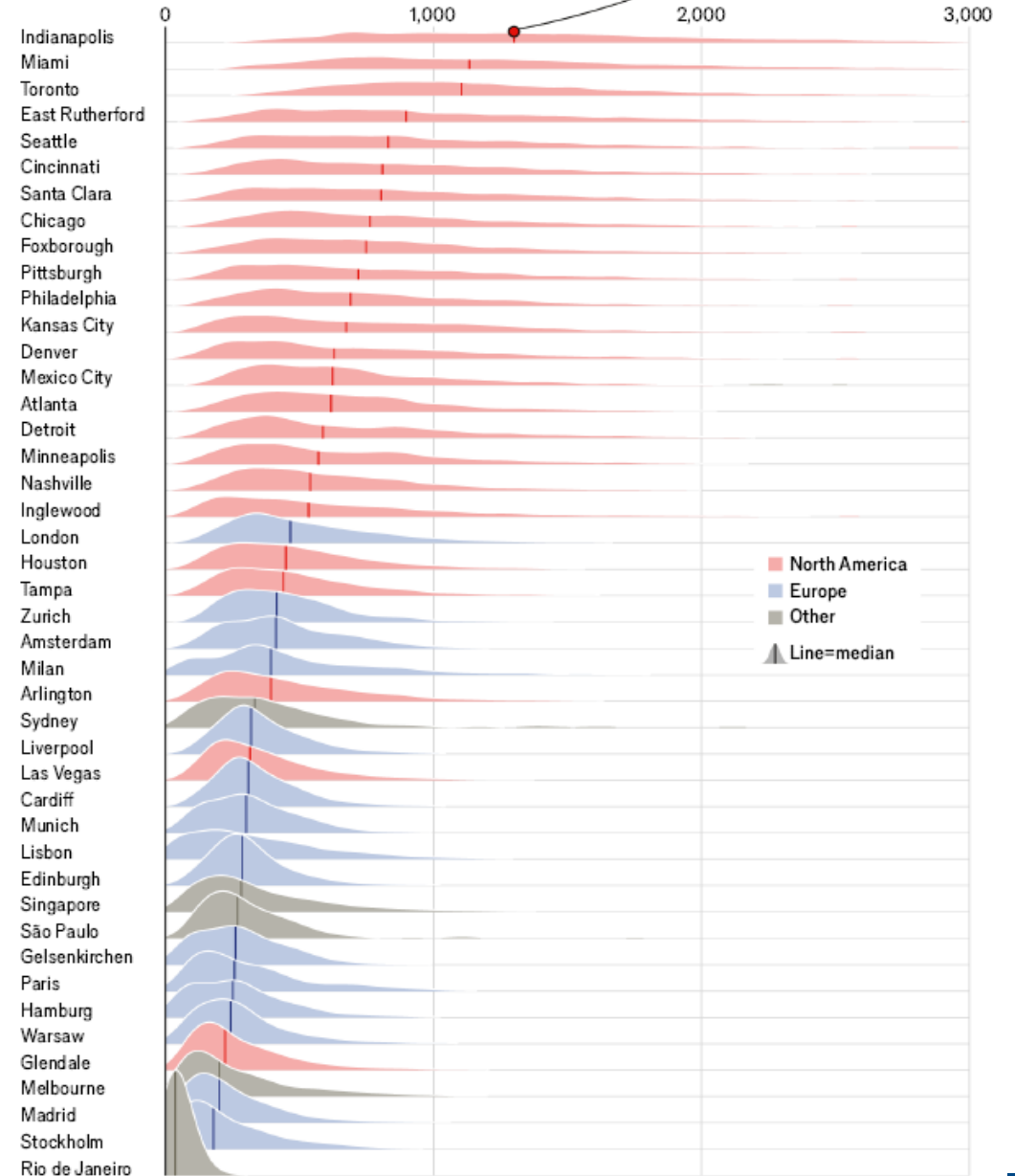


“The difference in prices created an arbitrage opportunity for Americans. The cost of attending a show in Paris, including flights and accommodation, could still be on average \$250 cheaper than attending one in New York. Many American Swifties did just that; an estimated 20% of the audience at the Paris shows was American. The influx of tourists is estimated to have brought cities that hosted concerts an additional \$50m-100m in economic activity.” [The Economist, December 6th, 2024.](#)

So long, London

Taylor Swift: The Eras Tour, ticket resale prices*, 2023-24, \$
44 cities ordered from most to least expensive

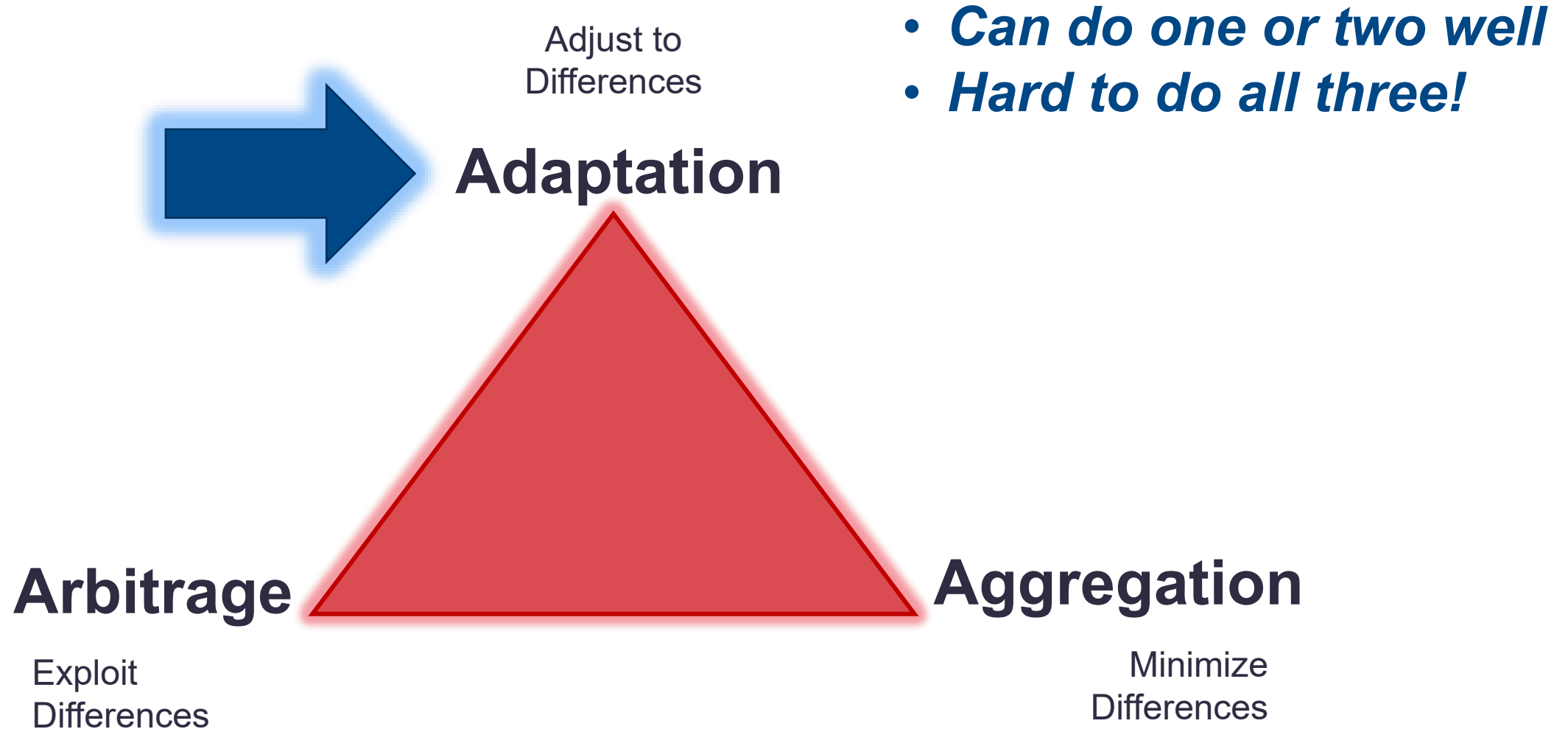
\$1,371 Indianapolis
Highest median ticket price



Source: SeatData.io

*Including ticket fees

More recently, their focus has switched towards Adaptation



Walmart International Expansion: CAGE Framework

Canada (1994):

China (1995):

Brazil (1995):

Germany (1997):

South Korea (1998):

Japan (2002):

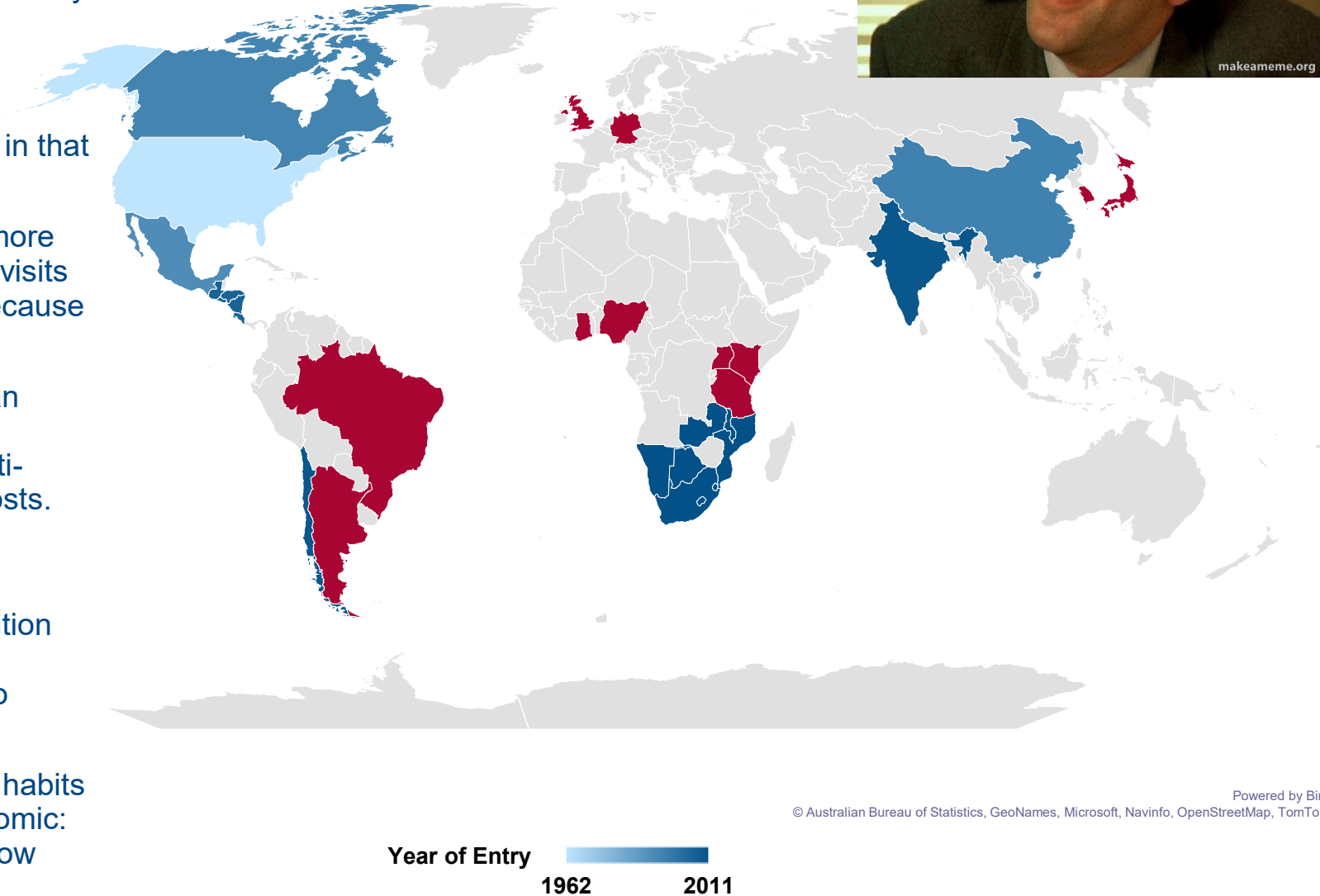


Year



makeameme.org

Japan (2002-2020): Failure. Cultural: language and habits challenges. Administrative/Political complexity. Economic: high sophisticated demands conflict with “low price, low quality.” **Video** up to 3’00”.



What is Walmart's main entry mode? And, why?

Hunt, Watts, & Bryant (2018)

“Walmart's international expansion: successes and miscalculation,”
Journal of Business Strategy 39(2): 22-29.

Entry Mode
From 2'10" to 2'43"



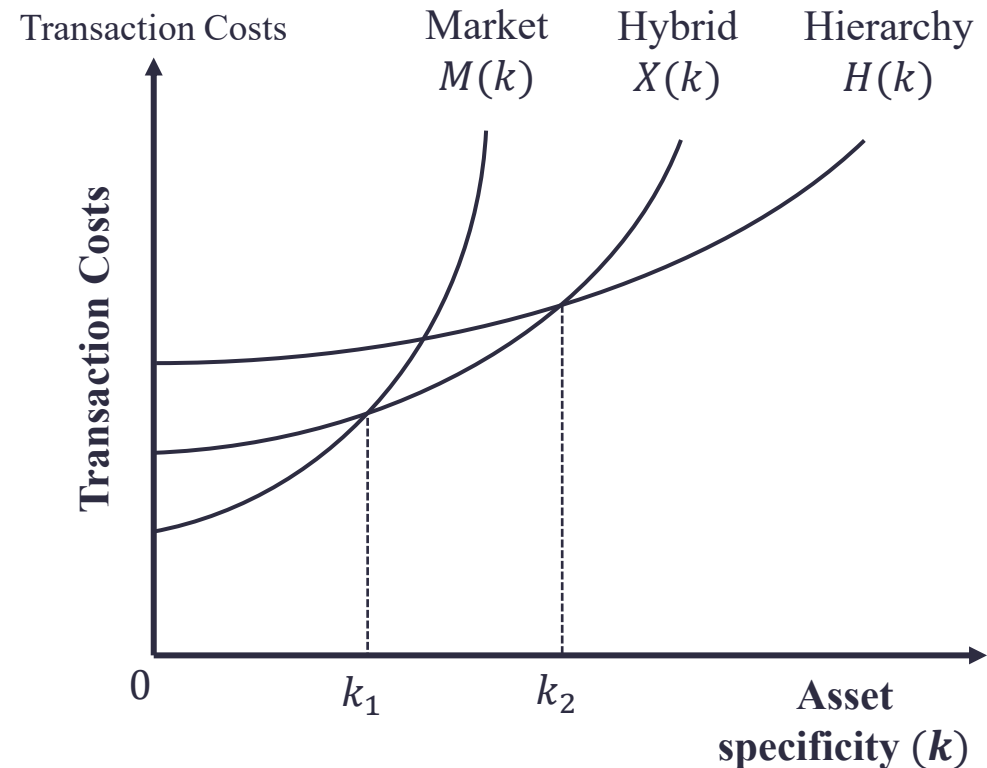
Transaction Cost Economics Framework

Three governance structures

- **Market $M(k)$:** import-export
- **Hybrid $X(k)$:** outsourcing contracts, licensing, franchising, alliances, joint-ventures
- **Hierarchy or Vertical Integration $H(k)$:** M&A, greenfield investments

Asset specificity (k) measures the potential risk of *hold-up* in case of **opportunism**. (Contractual Hazard)

Objective is to minimize Transaction Costs (lower level of curves possible)



Note: Williamson (1991).

Entry Mode Decision: Pros and Cons

TCE “make-or-buy” decision

Import-Exports $M(k)$

Higher flexibility. Opportunity to buy/sell to multiple markets throughout the world and greater protection of intellectual/property assets

BUT...

Highly subject to protectionist policies (e.g., tariffs); limited development of specific, distinctive competencies in the target markets.

Alliances $X(k)$

(joint ventures, if alliances involve equity stakes)

Opportunity to access new, distinctive competencies of foreign partners; it may also be a requirement of foreign governments (i.e., presence of a “domestic partner”)

BUT...

Potential conflicts (partners with different views or goals); **possibility of “knowledge/technology leakage.”** Potential reputational risk.

Subsidiaries $H(k)$

(greenfield or via acquisition)

Higher control. Opportunity to develop distinctive competencies and knowledge tailored to the target markets

BUT...

Administrative costs to manage cross-border hierarchical structures; sometimes not allowed by local governments and even subject to the **risk of asset expropriation.**

Entry Mode Decision and Outcomes

Country	Entry Mode	Outcome
Mexico	JV then Gradual Acquisition (Cifra, 1991)	Success
Canada	Acquisition (Woolco, 1994)	Success
India	JV then Gradual Acquisition (Flipkart, 2007)	Mixed
China	JV then Gradual Acquisition (Trust-Mart, 2007)	Mixed
South Africa	Acquisition then Full Ownership (Massmart, 2011)	Mixed
Germany	Acquisition (Wertkauf & Interspar, 1997)	Exit (2006)
United Kingdom	Acquisition (ASDA, 1999)	Exit (2021)
Japan	Acquisition (Seiyu, 2002)	Exit (2020)
Brazil	Acquisition (Bompreço, 2004)	Exit (2018)
South Korea	Greenfield	Exit (2006)

Is it a good idea for Walmart to enter the “new retail” model in China (and beyond)?

Walmart in China.

Ali Farhoomand and Filip Ziolk.

“Walmart in China: Challenging Alibaba’s New Retail.”

Asia Case Research Centre,
University of Hong Kong Case
19/643C





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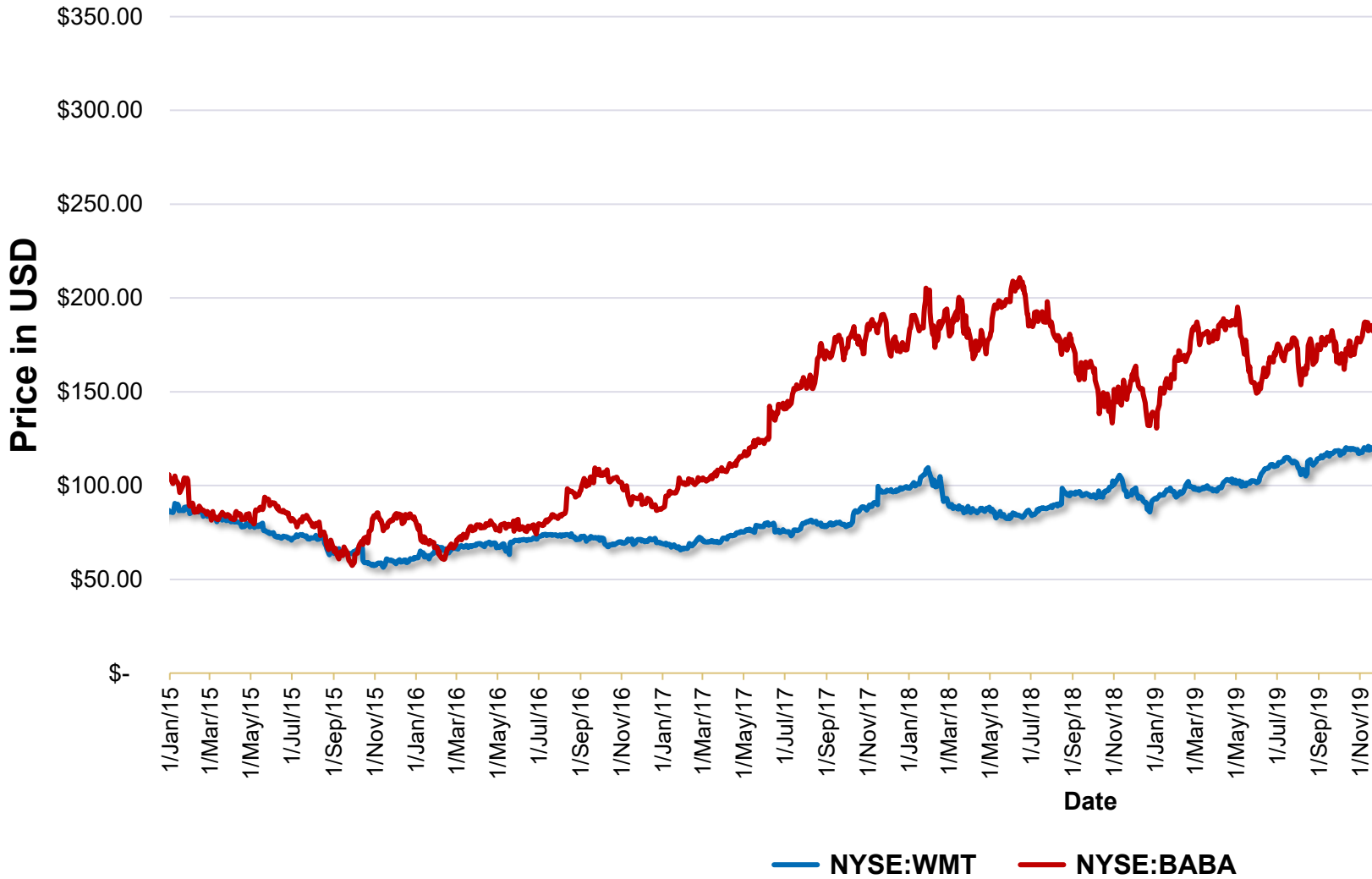
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Is it a good idea for Walmart to enter the “new retail” model in China (and beyond)?

- **Alibaba** dominance?

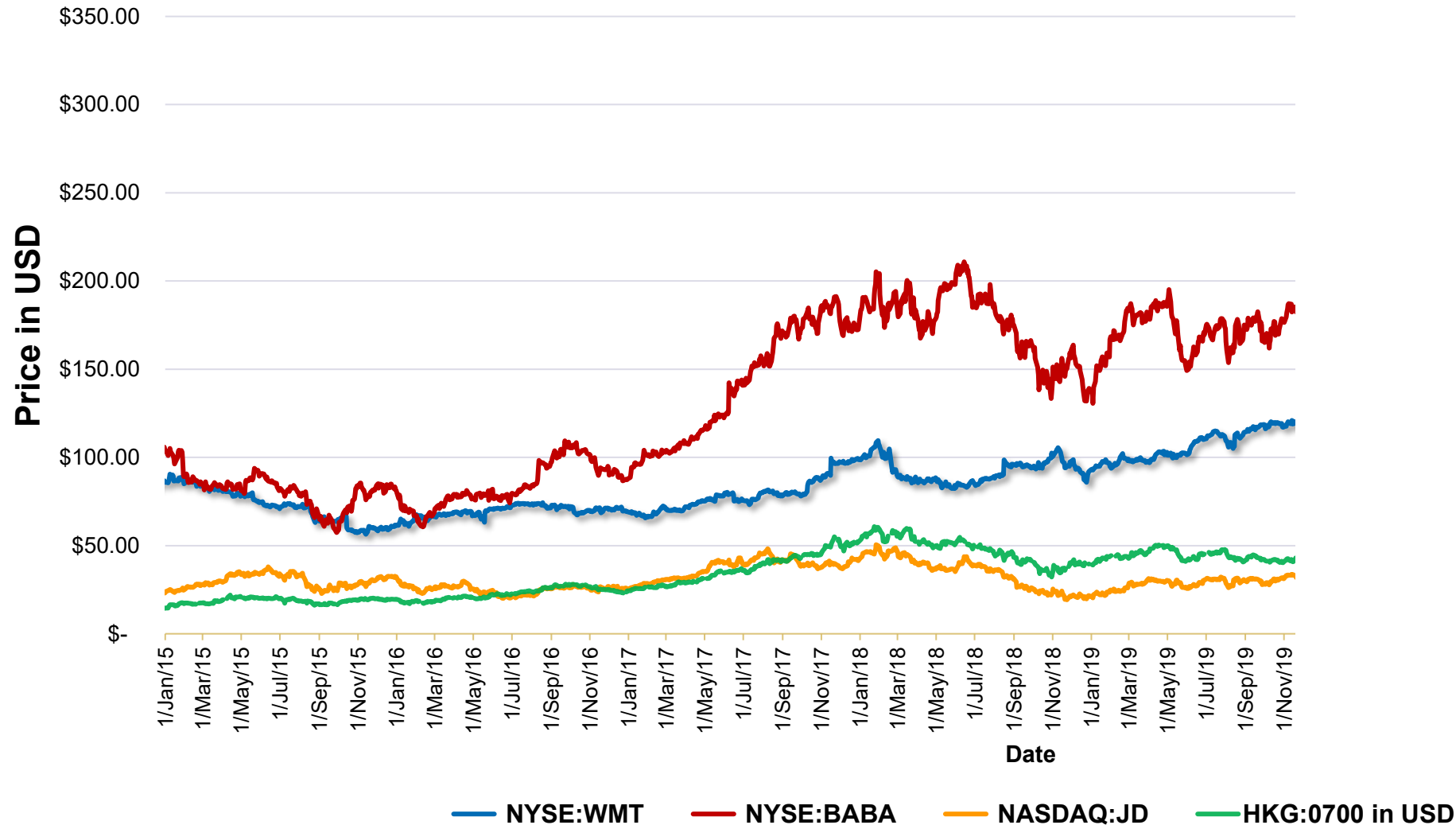
Stocks Daily Price, Adusted to USD



Is it a good idea for Walmart to enter the “new retail” model in China (and beyond)?

- **Alibaba** dominance?
- **Walmart**, **JD**, and **Tencent** pool their customer data.

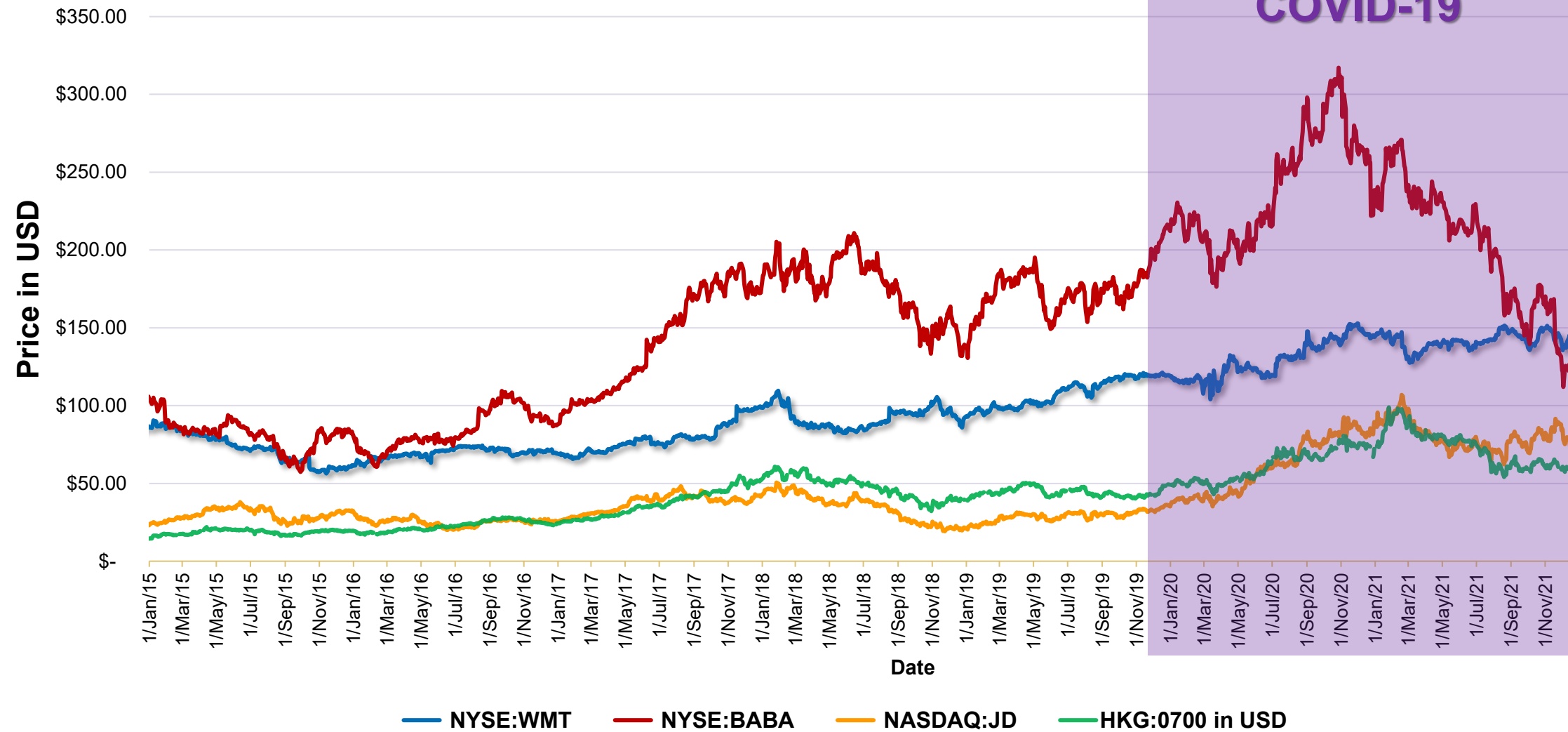
Stocks Daily Price, Adusted to USD



Is it a good idea for Walmart to enter the “new retail” model in China (and beyond)?

- COVID-19 shock?

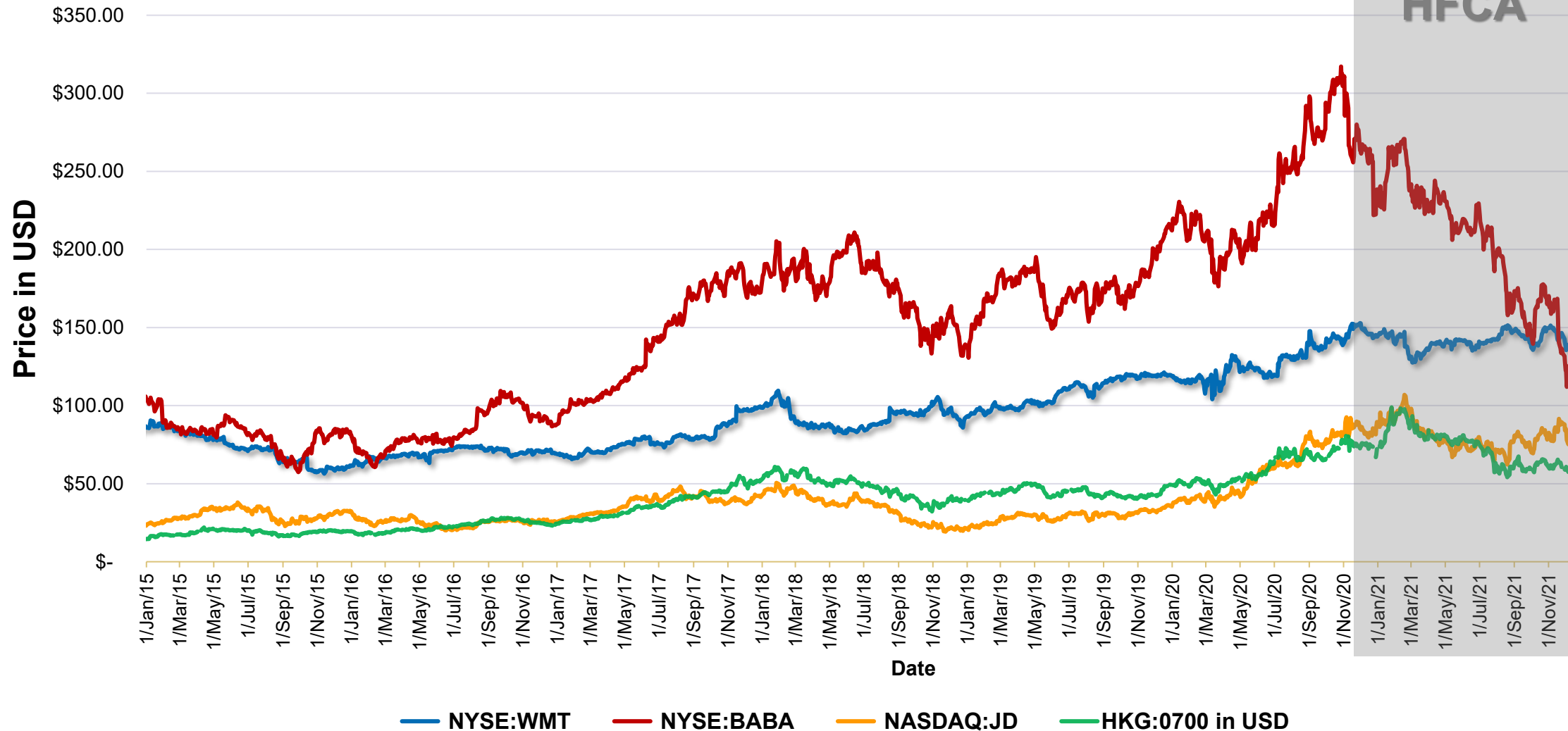
Stocks Daily Price, Adusted to USD



Is it a good idea for Walmart to enter the “new retail” model in China (and beyond)?

- **Holding Foreign Companies Accountable Act.**
December 18th, 2020.

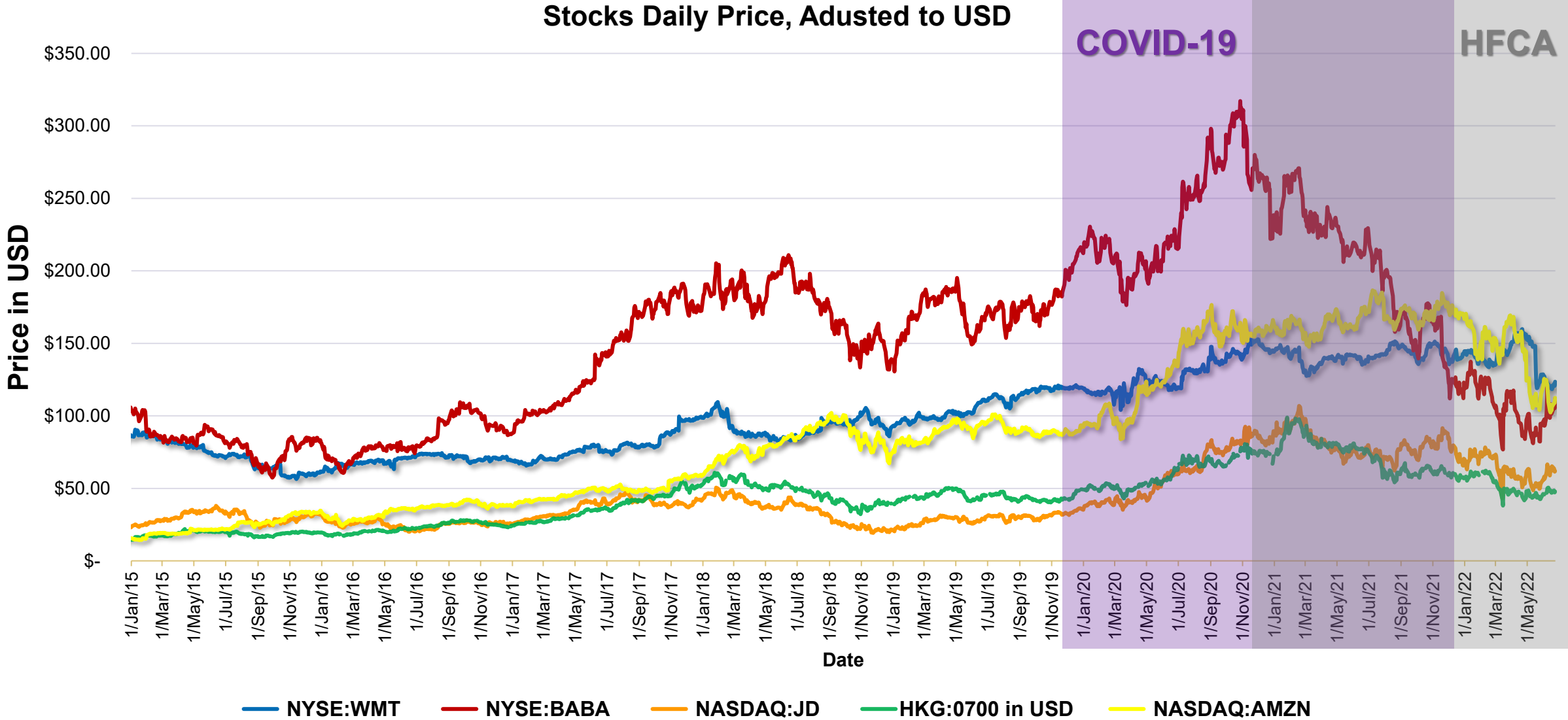
Stocks Daily Price, Adusted to USD



Is it a good idea for Walmart to enter the “new retail” model in China (and beyond)?

- How about Amazon? [Video](#)

Stocks Daily Price, Adusted to USD

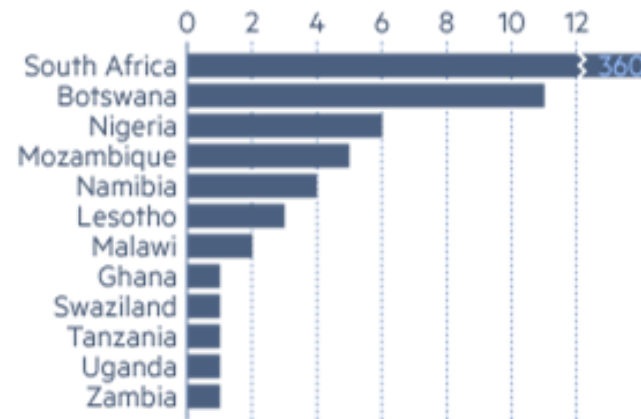


**What is
Walmart's
next big bet?
And, why?**

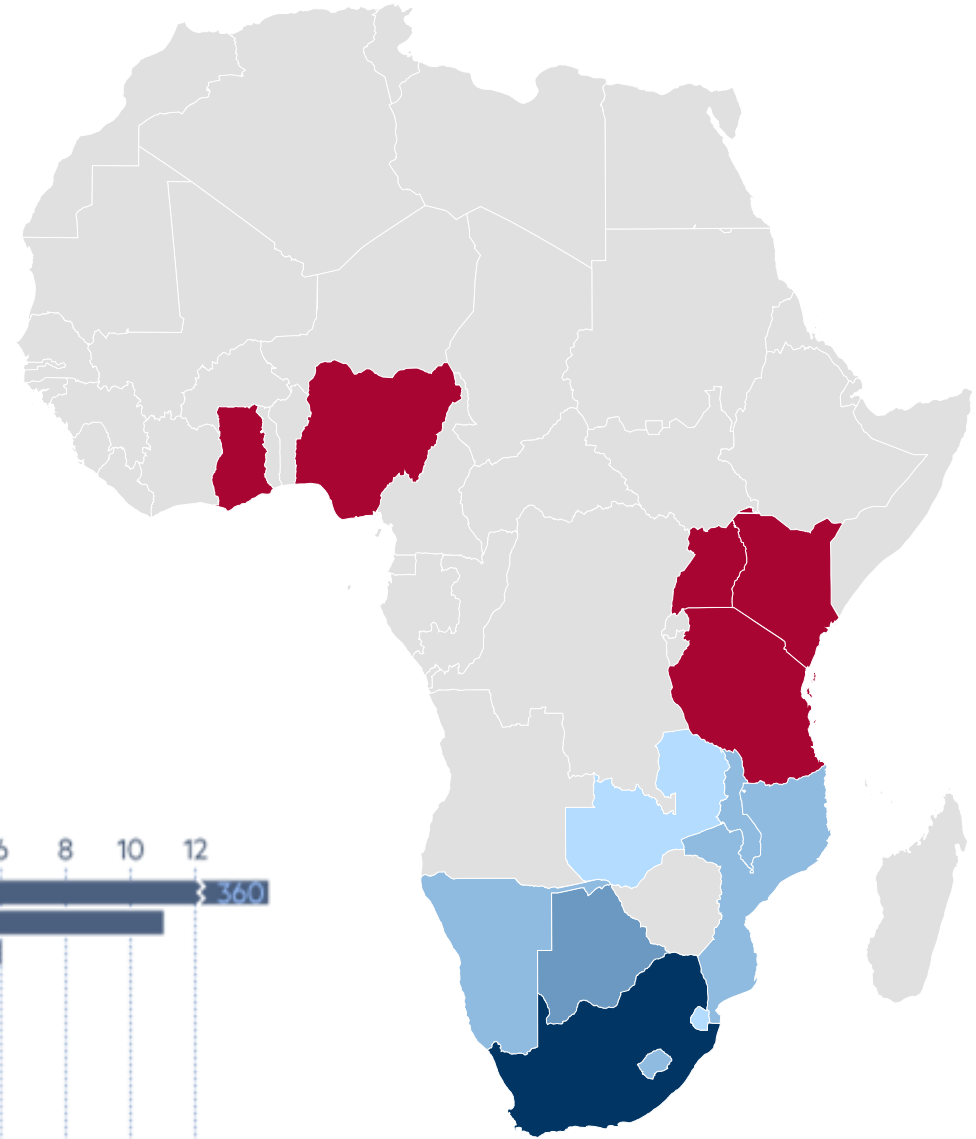
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What is Walmart's next big bet? And, why?

Number of stores



Source: [FT](#).



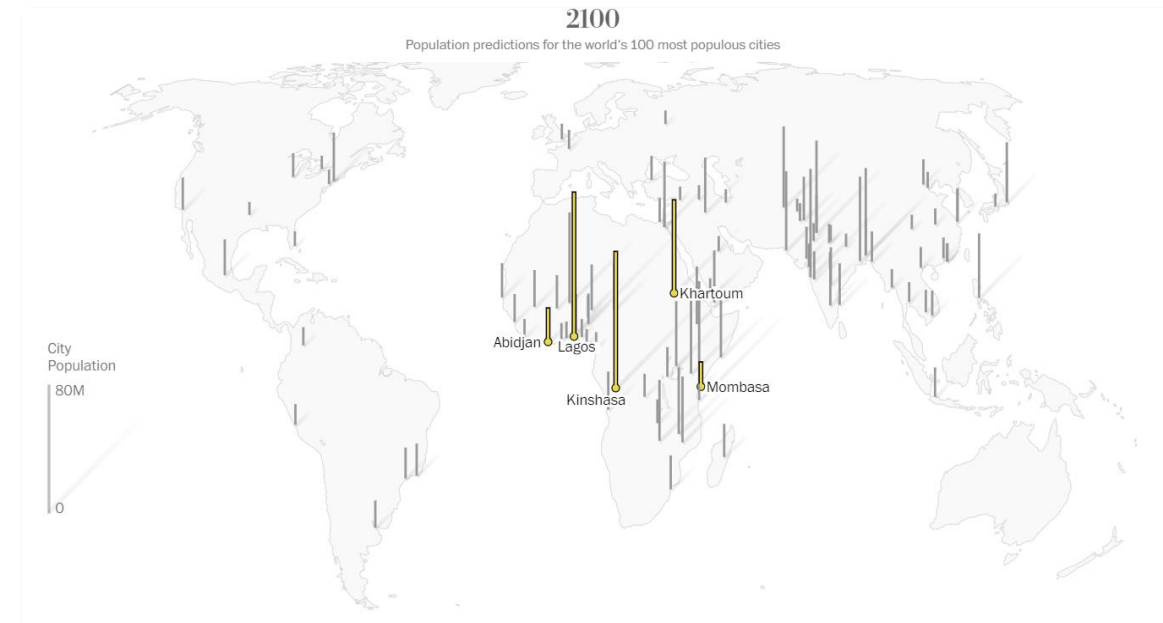
Why is Africa Walmart's next bet?

“Several recent studies project that by the end of this century, Africa will be the only continent experiencing population growth. **Thirteen of the world's 20 biggest urban areas will be in Africa** — up from just two today — as will more than a third of the world's population” [The Washington Post. Nov. 19th, 2021.](#)

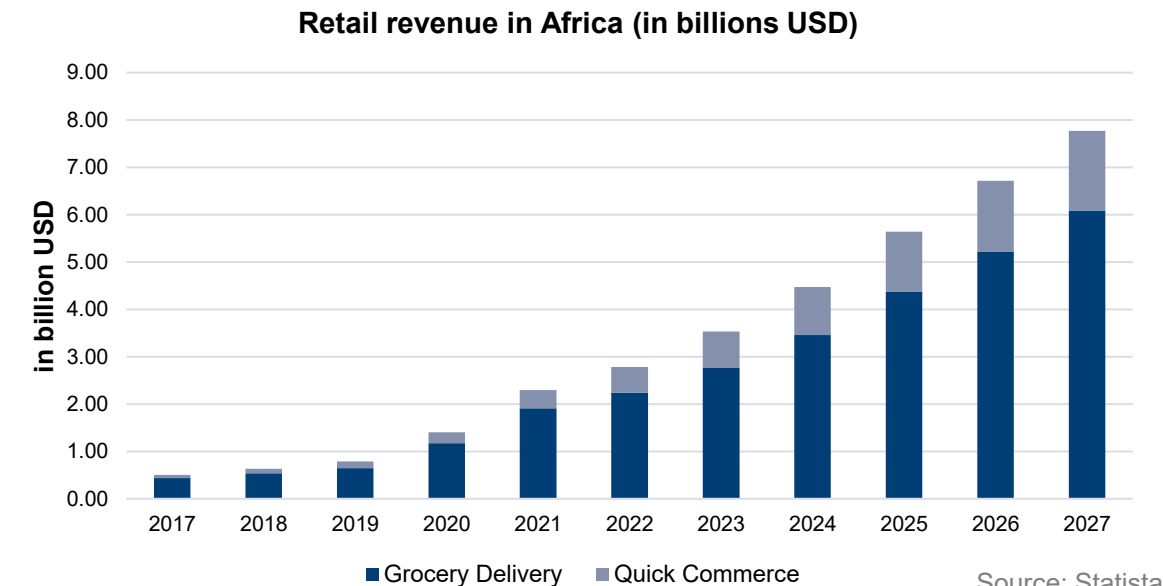
“The strategy - according to nine analysts, investors and sources with direct knowledge of **Walmart's plans** - is **firstly to build Massmart into a force** able to see off its brick and mortar rivals **and then win a looming battle against Amazon for the future of African e-commerce.**

‘Walmart plans to **bring its entire e-commerce enterprise and expertise into Massmart [in South Africa],**’ said a source close to the buyout plan. ‘Big investment is required to keep it relevant.’ (...)

The prize: the world's last, largely untapped retail market, boasting a billion consumers and growing household spending.” [Reuters. Oct. 21st, 2022.](#)



Source: [The Washington Post. “Africa's Rising Cities: How Africa will become the center of the world's urban future.” Nov. 19th, 2021.](#)



Source: Statista.

Flashcards

Walmart Takes Massmart Fully Private and Launches Walmart-Branded Stores in South Africa

In November 2022, **Walmart purchased the remaining minority shares of Massmart Holdings for R6.4B (~\$371M), taking it to 100% ownership and delisting Massmart from the Johannesburg Stock Exchange.** Walmart had originally acquired 51% of Massmart in 2011 for approximately \$2.4 billion, **envisioning South Africa as a beachhead for continental expansion.** After years of underperformance across 14 African countries, Walmart made a selective retreat: it closed ~14 Game stores in East and West Africa (Nigeria, Ghana, Kenya, Uganda, Tanzania) but deepened its commitment to South Africa. In September 2025, Walmart announced the opening of Walmart-branded stores in South Africa for the first time, starting with Clearwater Mall. By February 2026, Walmart announced plans to open 21 additional stores across Gauteng, KwaZulu-Natal, and the Western Cape.

Sources: [News24 \(Nov 2022\)](#), [Massmart.co.za \(Sep 2025\)](#), and [News24 \(Feb 2026\)](#)

Question: “Walmart closed stores across several African countries while expanding in South Africa. Why did they retreat from the continent but double down in one country?”

ANALYSIS

CAGE, Not All of Africa Is the Same: Walmart’s original error was treating “Africa” as one market. CAGE distances across 14 countries were enormous: different regulations, currencies, infrastructure, consumer habits. South Africa, however, has **lower CAGE distance** to the US than the rest of the continent.

TCE, From Partial Acquisition to Full Hierarchy: Walmart initially chose a 51% acquisition (partial hierarchy) in 2011. After years of operating friction with minority shareholders and underperformance, Walmart took Massmart **fully private** in 2022, moving to complete hierarchy. TCE logic: when the firm has accumulated enough local knowledge to operate independently, full internalization reduces governance costs. The delisting eliminated minority shareholder friction and gave Walmart full control to restructure.

AAA, Finally Adapting: The launch of Walmart-branded stores in South Africa (replacing the Game format) is a shift from aggregation to **adaptation**. Walmart is no longer trying to export the Massmart model across the continent. Instead, it is adapting its own brand to a single, well-understood market. This mirrors the Sam’s Club China strategy: retreat from overextension, focus on one adapted format.

In Sum: Walmart International Expansion

- **Countries:** the sequence was **rather haphazard**: Mexico, Puerto Rico, Canada, Brazil, Argentina, China, Germany, South Korea, U.K., Japan, Central America, and Africa.
- **Products:** initially pursued **a one-size fits all approach** (US model exported).
- **Entry Mode:** acquisitions exposed Walmart by making **big commitments too early**.

“Speculation on where Walmart will appear next in the global marketplace seems to be a sport for some observers”

-- Credit Suisse, 2006

Key Takeaways

- Where should we go? **AAA Framework.**
 - Combining “As” is very challenging. Walmart started with “Aggregation” at home, then international “Arbitrage,” but currently faces difficulties in “Adaptation” of its business model to other countries.
- How should we go? **Transaction Cost Economics (TCE) framework**
 - Incremental international expansions may minimize risks and allow a company to learn from prior experiences.
 - Transaction risks (contractual hazards) should be considered in the decision of which entry mode (governance structure) to use.
 - What about the country risks?

Next Class

- How should we go? **Transaction Cost Economics (TCE) Framework.**
 - Country Political Risk, Institutional Voids, and Business Groups

Looking Ahead: Entry Modes

- Quiz opens at **5PM today** and closes in **72 hours**
 - **15 minutes to answer 3 questions** (open book)
 - Once you start the quiz, you can't stop or start over
- **Next Class:**
 - Tarun Khanna, Sinha K. Palepu (2005) "Strategies that Fit Emerging Markets," Harvard Business Review.
 - Tarun Khanna, Sinha K. Palepu (2006) "Emerging giants," Harvard Business Review.
 - Tata Group: Tarun Khanna, Sinha K. Palepu, Richard J. Bullock. "House of Tata: acquiring a global footprint," HBS Case, 2008.
 - "McDonald's opens in hungry Moscow, but costs half-a-day's wages for lunch, 1990" (CBC Channel on Youtube). Click [here](#) to watch.

QUESTIONS

- *What are Institutional Voids?*
- *Why are business groups critical for overcoming institutional voids in emerging markets?*
- *How would you rate Tata's decision to acquire Land Rover and Jaguar? Why?*



Thank you.

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